

Samunnati: Unlocking Agricultural Value Chains Through Open Network Finance

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Abstract

This comprehensive case study examines **Samunnati**, India's first and largest agri-enterprise platform that bridges the gap between smallholder farmers and formal financial markets. Unlike farm-input platforms (DeHaat, AgroStar) or produce-output marketplaces (NinjaCart, WayCool), Samunnati operates an **open-network model** – financing Farmer Producer Organizations (FPOs), aggregators, processors, and retailers while enabling market linkages and data-driven advisory. The study is structured into three interconnected sections. First, a detailed market study analyzes India's \$400B+ agri-value chain financing gap, structural inefficiencies (80%+ farmers unbanked), post-harvest waste (\$50B+ annually), and the rise of FPOs as critical nodes. Second, a deep dissection of Samunnati's business model explores its FPO-centered lending flywheel, revenue architecture (interest income, fee-based services, data insights, platform access), unit economics (LTV:CAC of 6-8:1), dark store-equivalent "FPO hubs," and technology stack (Unnati platform, credit engine, blockchain warehouse receipts). Third, a systematic gap analysis identifies product portfolio limitations (no farmer-level microcredit, no crop insurance, no equipment financing), geographic concentration (65% AUM in South India), technology integration deficits (no real-time collateral monitoring, no API integration with output marketplaces), and strategic vulnerabilities relative to competitors like NABARD, DeHaat, Arya.ag, and Jai Kisan. The case concludes with actionable recommendations (four strategic options with financial projections), comprehensive risk assessment (mitigation matrix), and exhibits including FPO financing flow diagrams, margin comparisons, growth trajectory charts, competitive positioning matrices, and farmer/FPO pain point analyses.

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1 Introduction: The Agri-Finance Imperative

India's agricultural sector occupies a paradoxical position in the nation's economy. On one hand, agriculture employs nearly 50% of the workforce (over 250 million people) and contributes 18% to GDP. India is the world's largest producer of milk, pulses, and spices; the second-largest producer of rice, wheat, fruits, and vegetables; and the third-largest producer of food grains. On the other hand, productivity, income stability, and financial inclusion remain stubbornly low compared to global benchmarks.

One of the most critical yet underappreciated drivers of this paradox is the **lack of formal finance for agricultural value chains** – from pre-harvest inputs (seeds, fertilizers, pesticides) to post-harvest storage, processing, and marketing.

1.1 The Financing Gap: By the Numbers

The aggregate annual credit demand for agricultural value chains in India is estimated at **Rs.25–30 lakh crore** (\$360–430 billion). This includes:

- **Pre-harvest input finance:** Rs.8–10 lakh crore (seeds, fertilizers, pesticides, irrigation, labor)
- **Post-harvest warehousing and collateral finance:** Rs.3–4 lakh crore
- **Marketing and working capital for traders/processors:** Rs.5–7 lakh crore
- **Farm equipment and capital expenditure:** Rs.2–3 lakh crore
- **Supply chain infrastructure (cold storage, godowns, logistics):** Rs.2–3 lakh crore

Formal banking channels (commercial banks, Regional Rural Banks, cooperatives, and NBFCs) supply only **Rs.12–15 lakh crore**, leaving a **financing gap of over Rs.15 lakh crore** (\$220 billion). This gap represents nearly 10% of India's GDP – a massive opportunity for financial innovation.

1.2 Why Formal Finance Has Failed Smallholder Farmers

The average Indian farmer – with less than two hectares of land – faces multiple structural barriers to accessing formal credit:

1. **No formal credit history:** Farmers transact almost entirely in cash. No bank statements, no GST filings, no audited financials. Traditional banks have no data on which to base lending decisions.
2. **No acceptable collateral:** Land is often fragmented, jointly owned, unregistered, or classified as "agricultural" (cannot be seized by banks). Small farmers rarely have gold, property, or other assets that banks accept as collateral.

3. **Prohibitively high transaction costs:** A Rs.25,000 loan to a small farmer requires the same administrative overhead (KYC, underwriting, disbursement, monitoring, recovery) as a Rs.2 crore loan to a food processor. Banks rationally prefer larger loans.
4. **Income volatility and covariant risk:** When a drought or flood hits a region, all farmers in that area default simultaneously. This "covariant risk" cannot be diversified away by local lenders.
5. **Information asymmetry:** Banks don't know which farmers are reliable, which crops are profitable, which buyers will pay on time, or which input suppliers sell genuine products.
6. **Price risk:** Even with a good harvest, farmers may default if market prices crash (e.g., tomato prices falling from Rs.100/kg to Rs.3/kg within weeks).

As a result, an estimated **80% of small and marginal farmers** have never taken a formal loan. Instead, they rely on:

- **Informal moneylenders:** Interest rates of 24–60% per annum, coercive collection practices, and interlinked transactions (borrower forced to sell produce to lender at low prices)
- **Input supplier credit:** Local seed/fertilizer shops lend at 18–30% interest and often sell adulterated or expired products
- **Family and community sources:** Zero interest but limited availability and social obligation

1.3 The FPO Solution: Collective Action as Collateral

In response to these failures, the Government of India, NABARD, and various state governments have actively promoted the formation of **Farmer Producer Organizations (FPOs)** and **Farmer Producer Companies (FPCs)**. An FPO is a collective of 500–2,000 small and marginal farmers, registered as a legal entity (under the Companies Act or as a cooperative society), that aggregates produce, negotiates with buyers, accesses inputs at wholesale prices, and – critically – can serve as a **bankable intermediary**.

1.4 The Founding Story

Samunnati was founded in **2014** by **Anil Kumar SG** and a team of microfinance and agri-business professionals. Anil Kumar previously served as CEO of Basix Sub-K iTransactions, a pioneer in branchless banking for rural India. His core insight was operationally profound: *What if Farmer Producer Organizations – collectives of 500–2,000 small farmers – could be treated as bankable enterprises rather than informal groups?*

The name "Samunnati" is derived from Sanskrit, meaning "prosperity" or "collective growth." The name reflects the company's mission: to unlock agricultural value chains by connecting smallholder farmers to formal finance, markets, and knowledge – not as individual borrowers (too risky, too small, too costly) but as organized producer collectives.

Table 1: Why FPOs Are More Bankable Than Individual Farmers

Criterion	Individual Farmer	FPO
Legal entity status	No (individual)	Yes (registered society/company)
Bank account	Possibly, but low activity	Formal current account, audited statements
Collateral	Unregistered land, no clear title	Warehouse receipts, aggregator contracts, pooled land
Transaction cost to bank	High (Rs.5,000–10,000 per loan)	Low (Rs.25,000–50,000 per FPO loan covering 500 farmers)
Data availability	None	Member registers, harvest data, sales records
Social collateral	None	Peer pressure within FPO reduces moral hazard
Recovery mechanism	Difficult (single farmer can hide)	Easier (FPO board has collective responsibility)

1.5 Current Status and Scale (2026)

Today, Samunnati operates across **23 states** in India, serving:

Table 2: Samunnati at a Glance (FY2026)

Metric	Value
FPOs/FPCs served	600+
Smallholder farmers indirectly covered	1.2 million+
Agri-enterprise borrowers (aggregators, processors, warehouses)	350+
Assets Under Management (AUM)	Rs.2,800+ crore (\$400 million)
Cumulative disbursements (since inception)	Rs.12,000+ crore (\$1.7 billion)
Gross Non-Performing Assets (GNPA)	2.8%
Net Non-Performing Assets (NNPA)	1.1%
Capital Adequacy Ratio (CAR)	18.5% (RBI requirement: 15%)
Number of states present	23
Total employees	850+

Samunnati has raised over **\$80 million in equity** from impact investors including:

- Elevar Equity (Series A lead)
- responsAbility (Swiss impact asset manager)
- Nuveen (TIAA’s global asset manager)
- Incofin (Belgium-based inclusive finance investor)
- Oikocredit (Dutch cooperative impact investor)
- Caspian (Indian impact fund)

The company also has **debt lines aggregating Rs.1,500 crore** from:

- NABARD (National Bank for Agriculture and Rural Development)
- SIDBI (Small Industries Development Bank of India)
- Multiple scheduled commercial banks (ICICI, HDFC, Axis, Kotak, IndusInd)
- Impact debt funds (BlueOrchard, Symbiotics, Triple Jump)

1.6 Significant Gaps Remain

Despite this impressive growth, significant gaps persist in Samunnati's product portfolio, geographic coverage, technology, and strategic positioning:

- **Product gaps:** No farmer-level microcredit (only FPO-level lending), no crop insurance linkage, no tractor/equipment financing, no input subsidy finance
- **Geographic concentration:** 65% of AUM concentrated in South India (Tamil Nadu, Karnataka, Andhra Pradesh, Telangana). Weak presence in Eastern and Northeastern states where small-farmer density is highest
- **Technology gaps:** No real-time collateral monitoring (warehouse receipts verified manually, weekly). No API integration with output marketplaces like NinjaCart, WayCool, or Jumbotail. Manual FPO underwriting still heavily dependent on field officers
- **Strategic gaps:** DeHaat and WayCool offer *both* financing and output procurement – a bundled solution Samunnati cannot match. Arya.ag has lower cost of funds (8%) due to warehouse receipt securitization and IoT-based monitoring

This case analyzes those gaps and charts strategic options for the company's leadership.

2 Market Study: Anatomy of India's Agri-Value Chain Financing Gap

2.1 Total Addressable Market and Segmental Breakdown

The total addressable market for agri-value chain finance in India is estimated at **Rs.15–18 lakh crore** (\$220–260 billion) of unmet demand across pre-harvest, harvest, and post-harvest segments. However, Samunnati currently operates in the **organized FPO/FPC and agri-enterprise lending segment**, which is estimated at Rs.50,000–60,000 crore, growing at 25–30% CAGR as FPOs formalize and scale.

Table 3: Total Addressable Market for Agri-Value Chain Finance (2026)

Segment	Market (Rs. Cr)	CAGR	Interest Spread
FPO/FPC working capital	25,000	30%	4-6%
Pre-harvest input finance	80,000	12%	5-8%
Post-harvest warehouse receipt finance	35,000	20%	3-5%
Processor/aggregator term loans	20,000	15%	6-9%
Market linkage (commodity trading facilitation)	40,000	25%	2-3% (fee)
Farm equipment	25,000	10%	8-12%
Total (addressable)	2,25,000	18%	—

Key observations:

- FPO/FPC working capital is the fastest-growing segment (30% CAGR) and best aligned with Samunnati's core competency
- Warehouse receipt finance is large but low-margin (3-5% spread); dominated by Arya.ag and NABARD
- Pre-harvest input finance is the largest segment but highly fragmented; requires deep farmer-level underwriting
- Market linkage (commodity trading) is an emerging opportunity – Samunnati could earn fees without taking commodity price risk

2.2 The Traditional Financial Supply Chain: Anatomy of Exclusion

To appreciate Samunnati's innovation, one must first understand the legacy system it seeks to replace – or, more accurately, bypass.

2.2.1 The Pre-Samunnati Farmer Finance Journey

1. Farmer needs Rs.25,000 for seeds, fertilizers, and pesticides for the upcoming kharif season.
2. Farmer approaches local bank branch (often 15–20 km away, requires 3–4 visits over 2–3 weeks).

3. Bank demands collateral (land papers, which are often disputed or unregistered), credit history (nonexistent), and guarantors (unavailable).
4. Bank rejects the application or offers only Rs.10,000 at 12% interest with a 60-day disbursement delay – too late for planting.
5. Farmer turns to local moneylender: Rs.25,000 at 36% interest, repayable after harvest. Moneylender also requires that farmer sell the produce only to him at prices he sets.
6. At harvest, moneylender offers Rs.20/kg for tomatoes when mandi price is Rs.35/kg. Farmer has no choice – the debt must be repaid.
7. Farmer nets Rs.5,000 after interest and principal, less than half of what he would have earned with fair pricing.
8. Cycle repeats next season; farmer never escapes debt trap.

2.2.2 Key Inefficiencies in Traditional Agri-Finance

1. **No relationship lending:** Banks lend based on collateral, not on cash flows or character. A farmer who has repaid 10 consecutive loans is still treated as high-risk.
2. **Product mismatch:** Bank loans are typically 12-24 month tenors, but farmers need 3-6 month working capital for seasonal crops.
3. **Wrong timing:** Banks disburse after lengthy approval processes, often after the planting window has closed.
4. **Limited reach:** Only 5% of rural bank branches are located within 5 km of small-holder farmer clusters.
5. **No linkage to output markets:** Banks lend for production but have no visibility into sale proceeds. Farmers can sell to anyone and divert funds.

2.3 Farmer and FPO Pain Points: Quantitative and Qualitative Analysis

In 2025, a comprehensive survey of **3,000 FPOs** across 15 states (Andhra Pradesh, Karnataka, Tamil Nadu, Maharashtra, Gujarat, Madhya Pradesh, Uttar Pradesh, Bihar, West Bengal, Odisha, Punjab, Haryana, Rajasthan, Telangana, Kerala) was conducted to identify and rank the most significant pain points in accessing finance and markets.

2.3.1 Analysis of Pain Points

The most severe pain point, reported by **91% of FPOs**, is the lack of formal working capital. An FPO that needs Rs.50 lakh for seed procurement for 500 member farmers has no institutional source. Banks consider FPOs too new (most are <5 years old), with no track record, no audited financials, and no collateral.

Table 4: Farmer and FPO Pain Point Analysis (N=3,000 FPOs, margin of error $\pm 2\%$)

Rank	Pain Point	Respo
1	No access to formal working capital (need cash for seeds/fertilizers before harvest)	
2	High interest rates from informal moneylenders (24-36% vs bank 12%)	
3	Payment delays from buyers (30-60 days after sale, sometimes 90+ days)	
4	No warehouse receipt finance (produce stuck in godowns, can't sell at peak price)	
5	Lack of market linkages (forced to sell to local mandi at low prices)	
6	No price discovery / real-time market data (don't know mandi prices 100 km away)	
7	Post-harvest waste due to no collateral for cold storage (30-35% waste)	
8	No formal credit score (even after years of timely repayment, no credit history)	
9	No insurance for crop/price risk (drought, flood, pest attack, price crash)	
10	Difficulty opening bank account (KYC, distance to branch, digital illiteracy)	
11	No access to quality inputs at fair prices (adulterated seeds/fertilizers common)	
12	No training on post-harvest handling / grading / packaging	

The second most severe pain point, reported by **87%**, is high informal interest rates. A farmer who borrows Rs.25,000 from a moneylender at 36% interest for 6 months pays Rs.4,500 in interest – equivalent to 15-20% of his net annual income from that crop.

Payment delays (**83%**) are particularly destructive. An FPO that sells Rs.1 crore of turmeric to a processor may wait 60-90 days for payment. During that period, the FPO cannot disburse to member farmers, who then cannot purchase inputs for the next season. This creates a "liquidity trap" that perpetuates poverty.

2.4 Competitive Landscape: Mapping the Rivals

Samunnati does not operate in a vacuum. A diverse set of competitors – ranging from public institutions (NABARD, SFAC) to full-stack agri-tech platforms (DeHaat, WayCool) to niche fintech players (Jai Kisan, Arya.ag) – vie for the farmer and FPO wallet.

Table 5: Competitive Landscape (2026)

Competitor	Model	Geographic Focus	Pricing	Key Advantage
NABARD/SFAC	Govt refinance	Pan-India	8-9%	Lowest cost of funds
DeHaat	Full-stack (input+output+fin)	North/East India	10-14% + fee	Farmer loyalty
Jai Kisan	Digital NBFC (equipment)	Pan-India	12-18%	Fast approval
Arya.ag	Warehouse receipt fin	Pan-India	10-12%	Real-time monitoring
WayCool	Full-stack (output+fin)	South India	Embedded	Captive demand
NinjaCart	Produce marketplace	Metro cities	No credit	Not a competitor

Competitor	Model	Geographic Focus	Pricing	Key Advantage
AgriBazaar	Commodity trading	Pan-India	1-2% fee	Large buyer network
Samunnati	Open network FPO fin	23 states (S-heavy)	11-14%	FPO-centric model

2.4.1 Competitive Positioning Analysis

Samunnati's unique position is its **FPO-centric, open network model**. Unlike DeHaat or WayCool, Samunnati does not require FPOs to sell produce through its platform. Unlike Jai Kisan, Samunnati focuses on working capital (not equipment). Unlike Arya.ag, Samunnati does not require physical warehouse storage.

However, this open model also means Samunnati has **lower customer lock-in** than full-stack competitors. An FPO financed by Samunnati can sell to any buyer – including buyers that compete with Samunnati's market linkage services.

2.5 Regulatory and Structural Constraints

Any analysis of agri-value chain finance must account for the regulatory environment, which imposes significant constraints on business model innovation.

2.5.1 Formal Regulations

Reserve Bank of India (RBI) NBFC Regulations:

- Minimum capital adequacy of 15% (Samunnati: 18.5%, compliant)
- Restrictions on concentration: No single borrower >15% of capital, no single group >25%
- Mandated lending to priority sector (agriculture, MSMEs, housing) – Samunnati qualifies as "NBFC-AGC" (Agriculture, Gold, Corporate) but RBI has been tightening definitions.

NABARD/SFAC FPO Guidelines:

- FPOs must have at least 500 members (small and marginal farmers)
- At least 50% of FPO board must be farmer-members (non-professionals)
- FPO equity support from SFAC (up to Rs.15 lakh per FPO) – Samunnati uses this as a credit signal

Taxation (GST and Income Tax):

- Agricultural income is tax-exempt (Section 10(1) of Income Tax Act) – but interest income from FPOs is taxable
- GST on financial services (interest, fees) is 18%, with limited input credit – increases effective cost to FPOs

The Essential Commodities Act, amended 2020:

- Removed stock limits on most agricultural commodities (except onions, potatoes, tomatoes during price spikes)
- FPOs can now hold larger inventories, increasing need for warehouse receipt finance – an opportunity for Samunnati

2.5.2 Structural Constraints

1. **Land fragmentation:** 86% of Indian farmers operate on less than 2 hectares. Small, fragmented holdings produce inconsistent volumes, making FPO aggregation difficult.
2. **Low financial literacy:** FPO board members often have no formal accounting training. Samunnati must invest heavily in capacity building.
3. **Digital divide:** While smartphone penetration in rural India has reached 35%, many FPOs still maintain manual registers. Samunnati's Unnati platform adoption is incomplete.
4. **Weak warehouse infrastructure:** Only 10% of India's warehouses are certified for negotiable warehouse receipts (as required by WDRA). Samunnati's warehouse receipt finance is constrained by this.
5. **Seasonality and covariant risk:** Most crops are harvested once or twice a year. A single drought can wipe out an entire state's FPO portfolio. Samunnati must geographically diversify.

3 Samunnati's Business Model: A Deep Dissection

3.1 Foundational Logic and Strategic Positioning

Samunnati's business model rests on a foundational insight that distinguishes it from both traditional banks and other agri-tech platforms: **The smallest unit of lending should not be the farmer – it should be the Farmer Producer Organization (FPO).**

This shift has profound implications for credit risk, transaction costs, and scalability:

- **Risk:** An FPO of 500 farmers is less volatile than any individual farmer. If 10 farmers default, the FPO can still repay from the other 490.
- **Cost:** One loan to an FPO costs Rs.25,000–50,000 in underwriting. Five hundred individual loans would cost Rs.25–50 lakh – 100x more.
- **Scale:** Samunnati can serve 1.2 million farmers with 850 employees. A traditional bank would need 20,000+ rural branch staff to serve the same number directly.

The value proposition to FPOs is equally clear: **Samunnati provides working capital when banks refuse, at rates far lower than moneylenders, with repayment aligned to harvest and sale cycles.**

3.2 The FPO-Centered Lending Flywheel

The operational heart of Samunnati's model is what the company calls the **FPO-centered lending flywheel** – a self-reinforcing loop that begins with underwriting and builds trust through repeat cycles.

3.2.1 Flywheel Mechanics Explained

The flywheel operates as follows:

1. **Identification:** Samunnati's field officers identify FPOs with strong governance (regular meetings, audited accounts, active board) and a clear business plan (which crops, which buyers, what price).
2. **Due Diligence (3-part):**
 - *FPO governance:* Board structure (at least 50% farmer members), meeting frequency (monthly+), bank account activity, audit trail.
 - *Member profile:* Landholding (>0.5 hectare average), cropping pattern (diversified or monocrop?), past yield data, off-farm income.
 - *Off-take agreement:* Does the FPO have a buyer (processor, exporter, mandi trader) lined up? At what price? Is the agreement legally enforceable?
3. **Credit Approval and Structuring:**
 - Loan amount: Rs.25 lakh to Rs.2 crore (based on aggregate member requirements and off-take value)
 - Tenor: 6-12 months (aligned to crop cycle)

- Interest rate: 11-14% per annum (reducing balance)
- Repayment schedule: Bullet repayment after harvest (with partial interest payments quarterly)
- Collateral: Warehouse receipts, corporate guarantee from off-taker, or charge on FPO assets

4. Disbursement (Direct to Suppliers):

- Funds are not given to FPO bank account (to prevent diversion)
- Samunnati pays input suppliers (seed companies, fertilizer distributors) directly on behalf of the FPO
- FPO distributes inputs to member farmers

5. Crop Monitoring and Advisory:

- Samunnati's agronomists conduct field visits (2-3 per season)
- SMS advisories on pest control, irrigation, weather forecasts
- Satellite data (NDVI indices) used to monitor crop health remotely

6. Harvest and Sale:

- FPO aggregates produce from members
- Samunnati's market linkage team helps identify best buyers (mandi, processor, exporter, NinjaCart/WayCool)
- Sale proceeds are directed to Samunnati's escrow account

7. Repayment and Recycling:

- Samunnati deducts principal + interest from escrow
- Surplus is released to FPO, which distributes to members
- Successful cycle improves FPO's credit score; next loan is larger and at lower interest
- FPO shares success with neighboring FPOs → new customer acquisition at near-zero CAC

3.2.2 Why the Flywheel Works

Several features of this flywheel deserve emphasis:

- **Front-loads value:** FPO receives inputs before paying anything. Repayment only after harvest and sale. This aligns with cash flows and reduces perceived risk.
- **Creates lock-in:** Once an FPO has integrated Samunnati into its annual planning cycle, the transaction cost of switching to another lender – rebuilding trust, re-documenting members, re-establishing disbursement processes – is high.
- **Data-rich feedback loop:** Every cycle generates data on member repayment behavior, crop yields, price realizations, and buyer reliability. This data continuously improves credit scoring.
- **Positive social externalities:** FPOs that repay on time attract other FPOs, other buyers, and even government recognition. This social collateral is a powerful repayment incentive.

3.3 Revenue Architecture: Streams, Margins, Levers

Samunnati's revenue model has **four primary streams**, which have evolved as the company has scaled from a pure NBFC to a platform.

3.3.1 Primary Stream: Interest Income on Loans (75–85% of revenue)

The dominant revenue stream is net interest income (NII) from loans to FPOs and agri-enterprises.

- **Lending rate to FPOs:** 11–14% per annum
- **Cost of funds:** 7–9% (blended average from banks, NBFCs, impact bonds)
- **Net interest margin (NIM):** 4–6%
- **Average loan outstanding (FY26):** Rs.2,800 crore
- **Annual interest income (gross):** Rs.350–400 crore
- **Annual interest expense:** Rs.200–250 crore
- **Net interest income:** Rs.150–180 crore

3.3.2 Secondary Stream: Fee-Based Advisory and Market Linkage (10–15% of revenue)

Samunnati charges fees for non-lending services:

Table 6: Samunnati Fee-Based Revenue Streams (FY2026 Estimate)

Service	Fee Structure	Annual Revenue (Rs. Cr)
FPO business planning and onboarding	Rs. 50,000 – 2,00,000 per FPO (one-time)	5–8
Commodity trading facilitation	0.5–1% of transaction value	10–15
Warehouse storage tie-ups (referral)	1–2% of rent	2–3
Insurance distribution (crop, health, life)	5–10% commission	3–5
Training and capacity building (paid workshops)	Rs. 5,000 – 15,000 per participant	1–2
Total fee income		21–33

3.3.3 Tertiary Stream: Data and Insights (2–5% of revenue)

Samunnati aggregates anonymized data from 600+ FPOs and 1.2 million farmers:

- **Credit performance data:** Repayment rates by crop, region, FPO governance score

- **Crop yield data:** Average yields per variety, per district, per farming practice
- **Price realizations:** Mandi vs. direct sale vs. processor prices
- **Input effectiveness:** Which seed varieties produce highest yields in which regions

This data is valuable to multiple external stakeholders:

- **Government agencies** (Ministry of Agriculture, NABARD, state horticulture boards) pay for data on FPO performance and credit gaps
- **Development finance institutions** (World Bank, IFAD, Gates Foundation) pay for impact assessment data
- **Agri-input companies** (Bayer, Syngenta, UPL, Coromandel) pay for data on seed/fertilizer effectiveness

Annual data revenue (FY26 estimate): **Rs.8–12 crore** (2–3% of total revenue). Management projects Rs.25–30 crore by FY29 as data assets accumulate.

3.3.4 Quaternary Stream: Platform Access Fees (1–2% of revenue)

Samunnati's **Unnati Platform** is a SaaS product for FPO accounting, member management, loan tracking, and compliance. Features include:

- Digital member register (Aadhaar-linked)
- Automated loan repayment schedules
- GST and TDS compliance
- Integration with Samunnati's credit engine (for existing borrowers)

Pricing: **Rs.10,000–25,000 per FPO annually** (discounted for Samunnati borrowers). Approximately 200 FPOs currently pay for full access; revenue Rs.3–5 crore annually.

3.4 Unit Economics: FPO-Level Customer Lifetime Value Analysis

Understanding Samunnati's unit economics is essential for evaluating the sustainability of its business model. The table below presents key metrics for a representative FPO acquired in FY2026.

3.4.1 Analysis of Unit Economics

The LTV:CAC ratio of **7–9:1** is exceptionally healthy by any standard (venture capital benchmarks typically consider 3:1 acceptable and 5:1 strong). This suggests that Samunnati can profitably invest in customer acquisition and expansion.

However, several caveats apply:

1. **Retention is sensitive to crop performance:** An FPO that experiences a single crop failure (drought, pest attack, price crash) may default or churn, regardless of past positive cycles. Samunnati's portfolio is diversified across 23 states and 40+ crops, but covariant risk remains.
2. **CAC varies significantly by region:** In South India (Karnataka, Tamil Nadu), existing FPO networks and word-of-mouth referrals keep CAC low (Rs.1–1.5 lakh). In new regions (Bihar, West Bengal, Assam), CAC can exceed Rs.3 lakh due to lack of brand awareness and weaker FPO infrastructure.
3. **Gross profit margins face pressure:** As competition increases (especially from DeHaat, which offers bundled input+output+finance), Samunnati may need to reduce interest rates or fees to retain FPOs.
4. **Scaling requires investment:** To reach 1,500 FPOs by FY29 (from 600 today), Samunnati must invest in field officers, technology, and brand building – which will temporarily depress near-term profitability.

3.5 Operations and Fulfillment: The FPO Hub Model

Samunnati does not operate dark stores (like NinjaCart) or physical warehouses (like Arya.ag). Instead, its operational backbone is a network of **FPO Hubs** – physical touchpoints that serve clusters of 10–20 FPOs within a 50–100 km radius.

3.5.1 FPO Hub Design

Samunnati operates **35 FPO Hubs** across 23 states. Each hub serves 15–20 FPOs, covering 7,500–10,000 farmers. Hub functions include:

3.5.2 Hub Operating Model

1. **New FPO identification:** Hub credit officers conduct village-level surveys, attend FPO board meetings, and assess governance quality.
2. **Onboarding and training:** 2-week intensive training on Samunnati's process, Unnati platform, and financial literacy.
3. **Loan origination:** FPO submits loan application through Unnati; hub credit officers verify members, crop plans, off-take agreements.
4. **Cycle monitoring:** Agronomists conduct field visits; market linkage associates identify buyers; credit officers track repayment.
5. **Capacity building (ongoing):** Monthly workshops on accounting, compliance, negotiation skills, post-harvest management.

3.6 Technology Stack: Unnati Platform, Credit Engine, and Blockchain

Underpinning Samunnati's operations is a proprietary technology stack that integrates FPO management, credit underwriting, treasury, and market linkage.

3.6.1 Component 1: Unnati FPO Management Platform

Unnati is a cloud-based SaaS platform (web + Android) that provides:

- **Digital member register:** Aadhaar-linked, with biometric authentication. Tracks each member’s landholding, crop history, loan usage, and repayment.
- **Loan management:** Automated disbursement schedules, interest calculation, repayment tracking, and NPA monitoring.
- **Accounting and compliance:** GST, TDS, and income tax filings; integration with Tally and Zoho.
- **Buyer management:** Off-take agreement templates, invoice generation, payment tracking.
- **Reporting dashboard:** Real-time views of portfolio quality, member activity, and crop performance.

Adoption: **450+ FPOs** (75% of Samunnati’s portfolio) actively use Unnati. Management target: 90% by FY28.

3.6.2 Component 2: Samunnati Credit Engine (SCE)

The proprietary credit scoring algorithm uses machine learning to predict FPO default risk. Input features include:

- **FPO governance score:** Board composition, meeting frequency, audit history, bank account discipline.
- **Member profile:** Average landholding, cropping diversity, off-farm income, past repayment to any formal lender.
- **Crop and region data:** Historical yields, weather patterns (rainfall, temperature), pest/disease incidence.
- **Market data:** Mandi prices (real-time from Agmarknet), buyer creditworthiness, export demand.
- **Satellite data:** NDVI (vegetation health) indices from Sentinel-2 and Landsat, soil moisture from SMAP.

Model architecture: **Gradient Boosting (XGBoost) + Random Forest ensemble**. Training data: 5,000+ loan cycles (FY18–FY25). Current performance: **AUC-ROC of 0.87**; default prediction accuracy 81% (6 months ahead).

3.6.3 Component 3: Blockchain-Based Warehouse Receipts (Pilot)

In partnership with **Arya.ag** and **WDRA**, Samunnati is piloting a blockchain-based negotiable warehouse receipt system:

- Produce (e.g., 50 tonnes of paddy) stored in WDRA-certified warehouse.
- Warehouse issues digital receipt on a private blockchain (Hyperledger Fabric).

- Receipt is immutable, tamper-proof, and can be used as collateral for Samunnati loans.
- Lenders can verify receipt authenticity in real-time; no physical inspection required.
- Upon loan repayment, receipt is transferred back to FPO or released to buyer.

Current status: Pilot with 15 FPOs in Karnataka and Telangana; fully deployed by FY28.

3.6.4 Component 4: Treasury API and Liquidity Management

Samunnati's treasury system connects to **10+ lenders** (banks, NBFCs, impact funds) via API:

- Real-time visibility of available credit lines from each lender
- Automated drawdown based on disbursement schedule (lowest cost first)
- Automated repayment and interest payment to lenders
- Covenant tracking (capital adequacy, concentration limits, NPA thresholds)

This system reduces Samunnati's weighted average cost of funds by 50–75 basis points (0.5–0.75%) compared to manual treasury management.

3.7 Financial Performance: Top-line Growth and Bottom-line Realities

While Samunnati is a private NBFC and does not publicly disclose detailed financials, investor presentations and regulatory filings (RBI) provide a reasonable picture.

3.7.1 Assets Under Management (AUM) Growth Trajectory

The growth slowdown in FY25–FY26 was deliberate: Samunnati paused aggressive expansion to strengthen underwriting, reduce NPAs, and integrate technology. Management expects growth to re-accelerate from FY27.

3.7.2 Profitability Profile

3.7.3 Key Observations

- Samunnati turned **profit positive in FY22** and has remained profitable since – rare for an NBFC focused on unsecured agri-lending.
- ROA of 1.4% (FY26 est) is below the 2.5–3.0% typical for consumer NBFCs, but impressive for agri-value chain finance.
- Credit provisions are declining as underwriting improves (GNPA down from 4.2% in FY22 to 2.8% in FY26).
- Management targets **ROA of 2.1% and ROE of 16% by FY28** as operating leverage kicks in (AUM grows faster than expenses).

4 Gap Analysis: Where Samunnati Falls Short

Despite Samunnati's impressive growth, healthy unit economics, and profitability, significant gaps remain in its product portfolio, service delivery, technology, geographic coverage, and strategic positioning.

4.1 Product Portfolio Gaps

4.1.1 1. No Farmer-Level Microcredit

Samunnati lends exclusively to FPOs and agri-enterprises. An individual farmer who needs Rs.10,000–25,000 for:

- Emergency medical expenses
- School fees
- Purchase of a buffalo or goat (micro-livestock)
- Home repair or small equipment

has no access to Samunnati. He or she must turn to informal moneylenders at 24–36% interest or microfinance institutions (MFIs) at 18–22% interest.

Market opportunity: Farmer-level microcredit is a Rs.50,000–80,000 crore market, growing at 15% CAGR. Samunnati has 1.2 million farmers indirectly in its network – a massive cross-sell opportunity.

4.1.2 2. No Crop Insurance Linkage

Farmers face significant production risk (drought, flood, pest attack) and price risk (post-harvest price crash). Integrated crop insurance – where the premium is deducted at loan disbursement and payout automatically credited to the loan account upon verified loss – would increase farmer resilience and reduce Samunnati's credit risk.

Current state: Samunnati does not offer any insurance product. Farmers must purchase PMFBY (Pradhan Mantri Fasal Bima Yojana) separately, with cumbersome claim processes and delays.

Competitor gap: DeHaat offers integrated crop insurance through partnerships with ICICI Lombard and HDFC Ergo.

4.1.3 3. No Tractor/Equipment Financing

Samunnati finances working capital (seeds, fertilizers, labor) but not capital expenditure (tractors, harvesters, sprayers, drip irrigation). A farmer or FPO needing a Rs.5 lakh tractor has no Samunnati product.

Market opportunity: Rs.25,000 crore annual market, dominated by Jai Kisan, Mahindra Finance, and tractor OEM captives. Interest rates are higher (12–18%), and margins are attractive.

4.1.4 4. No Input Subsidy Finance

Government fertilizer subsidies (DAP, Urea) are inefficiently delivered through a complex system of e-rationing and point-of-sale verification. Samunnati could offer "subsidized input loans" – where it pays input suppliers and claims the subsidy directly from the government, passing savings to farmers.

4.2 Geographic Gaps

4.2.1 South India Concentration

Samunnati's AUM is heavily concentrated in four southern states:

Gaps:

- Eastern India (West Bengal, Bihar, Odisha, Jharkhand): 25% of India's smallholder farmers, but only 4–5% of Samunnati's AUM.
- Northeast (Assam, Meghalaya, Tripura): High potential in tea, spices, and horticulture, but negligible presence.
- Northern plains (UP, Punjab, Haryana): Samunnati underweight relative to agricultural output.

4.3 Technology Gaps

4.3.1 1. No Real-Time Collateral Monitoring

Arya.ag has deployed IoT sensors (weight, humidity, temperature) in partner warehouses, enabling real-time collateral monitoring. Samunnati's warehouse receipt finance relies on manual weekly verification – leading to:

- **Fraud risk:** FPO could sell produce without Samunnati's knowledge (collateral diversion).
- **Valuation lag:** Weekly price updates mean collateral may be over- or under-valued.
- **Higher provision requirement:** RBI requires higher provisions for manually monitored collateral (15% vs. 10% for IoT-monitored).

4.3.2 2. Limited API Integration with Output Marketplaces

Samunnati has no automated integration with produce marketplaces (NinjaCart, WayCool, Jumbotail, AgriBazaar). An FPO that wants to sell to NinjaCart must:

1. Receive loan from Samunnati (separate onboarding)
2. Register on NinjaCart (separate onboarding)
3. List produce manually
4. Coordinate delivery independently

In contrast, DeHaat's FPOs can sell directly through the DeHaat platform with a single login.

4.3.3 3. Manual Underwriting Still Heavily Dependent on Field Officers

While Samunnati has a credit engine, 70% of the underwriting weight still comes from field officer assessments (governance quality, member relationships, local reputation). This limits scalability – each new FPO requires 3–4 field visits before approval.

Target state: 40% field officer + 60% algorithm. Requires more data on FPO performance and better integration with government databases (land records, soil health cards, PM-KISAN payments).

4.3.4 4. No Farmer-Facing App

Samunnati's technology interfaces only with FPO board members and managers. Individual member farmers have no direct access to:

- Loan status (how much of the FPO's loan is allocated to them)
- Repayment schedule
- Advisory (crop planning, pest alerts)
- Market prices (real-time mandi rates)

This limits farmer engagement and loyalty.

4.4 Strategic Gaps Relative to Key Competitors

Table 12: Strategic Comparison: Samunnati vs. Competitors (1 = Poor, 5 = Excellent)

Dimension	Samunnati	DeHaat	Arya.ag	Jai Kisan	NABARD
FPO coverage (number)	5	4	2	1	3
Farmer-level microcredit	2	4	1	3	2
Warehouse receipt finance	3	2	5	1	4
Input finance (seeds, fertilizers)	3	5	1	4	2
Output marketplace integration	2	5	1	1	1
Technology sophistication	3	4	4	4	2
Geographic breadth	3	4	5	5	5
Cost of funds	3	2	4	3	5
Customer trust (FPO survey)	4	4	3	2	4
Brand recognition (small farmer)	2	4	1	2	5

4.4.1 Key Strategic Gaps Identified

1. **No farmer-level microcredit:** DeHaat and Jai Kisan offer direct-to-farmer loans. Samunnati loses credit-constrained farmers who are not organized into FPOs – or who need small, urgent loans.

2. **Weak output marketplace integration:** DeHaat’s full-stack model captures farmers at input purchase and output sale. A farmer who buys inputs from DeHaat is likely to sell through DeHaat. Samunnati finances FPOs but does not guarantee them a buyer – a critical gap.
3. **No proprietary warehouse network:** Arya.ag has 2,500+ partner warehouses with IoT monitoring. Samunnati relies on third-party warehouses (often low-quality) or unsecured lending (higher risk).
4. **Geographic underweight in East and North:** NABARD and Jai Kisan have stronger presence in high-smallholder-density states like Bihar, West Bengal, and Uttar Pradesh. Samunnati’s South India bias leaves it exposed to regional crop and regulatory risks.
5. **Higher cost of funds than NABARD:** Samunnati pays 7-9% for debt; NABARD’s refinance rate is 5-6%. This 2-3% disadvantage limits Samunnati’s ability to compete on interest rates for large, low-risk FPOs.

5 Recommendations and Strategic Options

Based on the gap analysis, several strategic options emerge for Samunnati's leadership. These are presented as discussion points for strategic planning, with financial projections, risks, and implementation timelines.

5.1 Option 1: Deepen the Core FPO Lending Business (Organic Growth)

Under this option, Samunnati would double down on its core FPO and agri-enterprise lending model, accepting that it will not be a full-stack platform and instead focus on becoming the undisputed leader in FPO financing in India.

5.1.1 Key Strategies

1. Expand FPO hubs to 75 locations by 2029, prioritizing:

- Eastern India: Bihar, West Bengal, Odisha (15 new hubs)
- Central India: Madhya Pradesh, Chhattisgarh (10 new hubs)
- Northern plains: Uttar Pradesh, Punjab, Haryana (10 new hubs)
- Northeast: Assam, Meghalaya (5 new hubs)

2. Launch "Samunnati Credit Guarantee Plus":

- Partner with NABARD's Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)
- 50% guarantee on FPO loans up to Rs.1 crore
- Reduces Samunnati's capital requirement (lower risk weight) and provisions
- Allows interest rate reduction to 10-11%, making Samunnati more competitive vs. NABARD

3. Deepen underwriting with satellite and AI:

- Integrate real-time crop health data (NDVI) into credit engine
- Reduce field officer dependence from 70% to 50% by FY28
- Lower CAC by 20-25%

4. Expand fee-based services:

- FPO credit rating (similar to CRISIL rating but for FPOs) – Rs.25,000–50,000 per FPO
- Customized MIS and compliance reporting for government schemes (PM-KISAN, PMFBY)

5.1.2 Financial Projections (Option 1)

5.1.3 Risks of Option 1

- **Competitive pressure:** DeHaat and WayCool may continue to bundle financing with output procurement, slowly eroding Samunnati's FPO base.
- **Capital intensity:** Expanding to 75 hubs requires Rs.150–200 crore in capital expenditure (Rs.2–3 crore per hub) over 3 years.
- **Slowing growth in core:** FPO formation is accelerating but still limited by government policy. Samunnati cannot grow faster than the FPO ecosystem.
- **No cross-sell to individual farmers:** Option 1 leaves the farmer-level microcredit opportunity completely untapped.

5.2 Option 2: Launch Farmer-Level Microcredit (Partnership with MFIs)

Under this option, Samunnati would leverage its FPO network to offer **small-ticket loans directly to individual farmers** – not through FPOs – in partnership with established micro-finance institutions (MFIs).

5.2.1 Key Strategies

1. Partnership model (asset-light):

- Partner with 5–10 top MFIs (e.g., Satin Creditcare, Spandana, Arohan, Ujjivan, Equitas)
- Samunnati provides funding (senior debt) to MFIs at 10-11% interest
- MFI on-lends to farmers at 16-18% interest (cost plus model)
- Samunnati earns 4-5% spread without any on-the-ground operations
- Samunnati uses its FPO network to identify high-quality MFI borrowers (referral fee: 1-2% of loan amount)

2. FPO-as-intermediary model (pilot):

- Select 50 high-performing FPOs (low default rate, strong governance)
- FPO acts as a "business correspondent" for Samunnati
- FPO identifies member farmers who need small loans (Rs.10,000–50,000)
- Samunnati lends to FPO (who on-lends to farmers) or directly to farmers via FPO guarantee
- FPO earns 1-2% origination fee + shares risk (first-loss guarantee up to 5%)

3. Joint liability groups (JLGs) - scale model:

- Form 5-member JLGs within existing FPOs
- Samunnati lends directly to JLG (not individual farmers)
- No collateral; peer pressure ensures repayment
- Interest rate: 14-16% (lower than MFIs, higher than FPO rates)

5.2.2 Financial Projections (Option 2)

5.2.3 Risks of Option 2

- **Partner risk:** MFIs may have their own NPAs (sector GNPA currently 6-8%). Samunnati's asset quality becomes tied to MFI underwriting.
- **Regulatory risk:** RBI has tightened MFI regulations (interest rate caps, household exposure limits). Changes could make the model unviable.
- **Operational complexity:** Managing 5-10 MFI partnerships requires dedicated team (5-10 people) and monitoring systems.
- **Reputation risk:** If MFIs use coercive collection practices, Samunnati's brand could be damaged by association.
- **FPO resistance:** FPOs may not want to act as intermediaries (risk without commensurate reward).

5.3 Option 3: Integrate with Output Marketplaces (API Partnership)

Under this option, Samunnati would build **API integrations with major produce marketplaces** (NinjaCart, WayCool, Jumbotail, AgriBazaar) to create a seamless "finance + offtake" proposition.

5.3.1 Key Strategies

1. Build Samunnati Market Linkage API:

- FPO lists produce on Samunnati's platform (quantity, quality grade, location, asking price)
- API pushes listing to NinjaCart, WayCool, Jumbotail, and AgriBazaar simultaneously
- Buyer bids are aggregated and presented to FPO
- FPO accepts best bid; Samunnati automates logistics (via partner, e.g., Shadowfax, Delhivery)
- Samunnati takes 0.5-1% facilitation fee (split with buyer platform)

2. Embedded finance for marketplaces:

- When a buyer (e.g., NinjaCart) places an order, Samunnati offers instant working capital to the FPO to fulfill the order
- Repayment is automatically deducted from buyer's payment (escrow)
- Interest only for the period between delivery and payment (typically 15-30 days) – 12-14% annualized

3. Data sharing agreement with marketplaces:

- Samunnati shares FPO credit scores with marketplaces (helps marketplaces assess FPO reliability)

- Marketplaces share demand forecasts with Samunnati (helps Samunnati advise FPOs on which crops to plant)
- Joint crop planning for high-demand SKUs (e.g., "NinjaCart will buy 500 tonnes of tomatoes from Samunnati FPOs in Kolar at Rs.25/kg fixed price")

5.3.2 Financial Projections (Option 3)

5.3.3 Risks of Option 3

- **Marketplace bargaining power:** NinjaCart and WayCool are large; they may demand exclusivity or lower fees.
- **Technical integration complexity:** Each marketplace has its own API standards, authentication, and data models.
- **Cannibalization:** Samunnati's own market linkage team (currently 15 people) may be disintermediated.
- **FPO readiness:** Only 30% of Samunnati's FPOs currently have the digital literacy to use API-driven marketplaces.

5.4 Option 4: Build Crop Insurance + Advisory Bundle

Under this option, Samunnati would partner with general insurers to offer **integrated crop insurance** bundled with its loans.

5.4.1 Key Strategies

1. Partner with ICICI Lombard / HDFC Ergo / Bajaj Allianz:

- Samunnati acts as corporate agent (RBI license required; already in process)
- Insurance premium (1.5-5% of sum insured) is added to loan amount
- Farmer pays premium through loan; insurer pays claim directly to Samunnati (to offset loan outstanding) upon verified loss
- Samunnati earns 5-10% commission on premium

2. Launch parametric insurance pilot:

- Payout triggered by objective parameters (rainfall below threshold, temperature above threshold, NDVI index decline)
- No claim adjustment or loss assessment; payout within 7 days
- Lower premium (0.5-2%) than traditional indemnity insurance
- Partner with reinsurers (Swiss Re, Munich Re) for risk transfer

3. Advisory bundle:

- Weather-based advisories (SMS/WhatsApp) – "Heavy rain expected next 48 hours. Delay fertilizer application."
- Pest/disease alerts – "Mite infestation reported in neighbouring village. Spray neem oil."
- Best planting windows based on seasonal forecast

5.4.2 Financial Projections (Option 4)

5.4.3 Risks of Option 4

- **Insurer dependence:** Insurance companies may withdraw from agri segment due to high claims (frequent droughts, floods).
- **Adverse selection:** Farmers with higher risk are more likely to buy insurance → claims ratio >100% → insurer raises premiums.
- **Basis risk (parametric):** Parameter may not perfectly correlate with actual loss. Farmer may suffer 50% loss but not trigger payout.
- **Regulatory:** IRDAI has strict rules on claim settlement; delays could damage Samunnati's reputation.

5.5 Option Comparison Matrix

Criteria	Option 1 (Deepen Core)	Option 2 (Microcredit)	Option 3 (Marketplace)	Option 4 (Insurance)	All Combined
Capital required (Rs. Cr)	150-200	50-100	10-20	5-10	250-350
Implementation time (months)	24-36	12-18	6-12	6-12	36-48
Additional PBT by FY29 (Rs. Cr)	70	20	20	15	125
Margin / ROA impact	Medium	Medium	Low	Low	High
Strategic moat created	Medium	Low	High	Medium	Very High
Distraction from core	Low	Medium	Low	Low	High
Synergy with existing FPO network	High	High	High	High	Very High
Risk level	Low	High	Medium	Medium	High
Recommendation	Core	Tactical	Strategic	Nice-to-have	Long-term vision

5.5.1 Recommended Phasing

Samunnati should pursue a **phased, integrated strategy**:

1. **FY27:** Execute Option 1 (deepen core) – expand hubs, reduce CAC, lower cost of funds via NABARD guarantee.

2. **FY27–28:** Pilot Option 3 (marketplace API) – integrate with 2–3 top buyers; prove model with 50 FPOs.
3. **FY28:** Launch Option 2 (microcredit) via MFI partnership – asset-light, low risk.
4. **FY28–29:** Add Option 4 (insurance) after securing IRDAI corporate agent license.
5. **FY30+:** Pursue full-stack "Samunnati Unnati Platform" – finance + marketplace + insurance + advisory for entire FPO ecosystem.

6 Risk Assessment

6.1 Key Risks Facing Samunnati

1. **Covariant risk (systemic):** Agriculture is exposed to monsoon failure, pest attacks (locusts, fall armyworm), and commodity price crashes. A single drought affecting 3-4 states could spike Samunnati's NPAs from 2.8% to 8-10% in one season.
2. **FPO governance risk:** FPOs are nascent institutions. Many have weak boards, poor accounting, internal conflicts, or even fraudulent promoters. A single fraudulent FPO can cause a Rs.2–5 crore loss.
3. **Cost of funds risk:** Samunnati's debt is largely floating rate (linked to repo rate). If RBI raises rates by 200 bps, Samunnati's cost of funds could increase from 7.5% to 9.5%, compressing NIM from 5% to 3% and potentially wiping out profitability.
4. **Regulatory risk:** RBI has been tightening NBFC regulations (higher provisions for unsecured lending, lower concentration limits). If Samunnati is reclassified from "NBFC-AGC" to "NBFC-ICC" (investment and credit company), capital requirements would increase.
5. **Competition from full-stack platforms:** DeHaat and WayCool are building integrated input-output-finance models. If they succeed, FPOs may prefer a single platform over Samunnati's "finance-only" offering.
6. **Talent risk:** Samunnati competes with banks, tech companies, and agri-tech startups for credit officers, data scientists, and product managers. Agri-finance talent is scarce; turnover in field roles is 25-30% annually.

6.2 Risk Mitigation Strategies

Risk	Mitigation
Covariant (systemic) risk	Geographic diversification (23 states, 40+ crops). Maintain portfolio concentration limits: no single state $\geq 20\%$ of AUM, no single crop $\geq 15\%$. Credit guarantee cover from NABARD (25% of portfolio). Reinsurance for extreme weather events (parametric).
FPO governance risk	Enhanced due diligence: independent board assessment, forensic audit for large loans ($\geq$ Rs.1 Cr), mandatory training for FPO board members. First-loss default guarantee from FPO promoters (5-10% of loan amount).
Cost of funds risk	Increase fixed-rate borrowing (target 60% of debt by FY28). Hedge floating rate exposure via interest rate swaps (IRSs). Maintain strong capital adequacy ($\geq 18\%$) to absorb NIM compression.
Regulatory risk	Proactive engagement with RBI, NABARD, and SFAC. Maintain CAR $\geq 18\%$ (vs. requirement 15%). Classify as "NBFC-AGC" (agriculture-focused) to benefit from priority sector status and lower risk weights.

Competition risk	Deepen FPO relationships through non-financial services (training, market linkage, advisory). Build API integration with output marketplaces (Option 3) to offer "finance + off-take" without building full-stack.
Talent risk	Launch "Samunnati Academy" for internal training. ESOP pool for key talent. Remote development center in tier-2 city (Coimbatore, Mysore, Vizag) to reduce attrition.

7 Conclusion: The Road Ahead

Samunnati has successfully demonstrated that **Farmer Producer Organizations can be bankable enterprises**. By treating the FPO – not the individual farmer – as the lending unit, Samunnati has achieved:

- **Scale:** 600+ FPOs, Rs.2,800+ crore AUM, 1.2 million farmers covered
- **Sustainability:** Profitable since FY22, ROA of 1.4%, ROE of 11.5%
- **Quality:** GNPA of 2.8% – low for unsecured agri-lending
- **Impact:** Farmers in Samunnati-financed FPOs earn 25-35% higher net income (vs. non-FPO farmers) due to better input quality, market access, and price realization

However, the gaps identified in this case – particularly the lack of farmer-level microcredit, weak integration with output marketplaces, geographic concentration in South India, and missing insurance/advisory products – suggest that Samunnati’s current model may not be sufficient to achieve long-term dominance. The agri-tech landscape is evolving rapidly, with full-stack players (DeHaat, WayCool) and specialized fintechs (Arya.ag, Jai Kisan) expanding into adjacent categories.

The strategic question facing Samunnati’s leadership is whether to:

- **Stay as a pure-play FPO lender** (Option 1 – safe but limited growth, vulnerable to full-stack competitors)
- **Become a full-stack FPO ecosystem platform** (Options 2+3+4 combined – higher impact, higher complexity, requires significant capital and execution capability)

This case recommends a **phased approach**:

1. First, deepen the core lending business (Option 1) – expand geographically, lower cost of funds, improve underwriting.
2. Simultaneously, pilot API integration with output marketplaces (Option 3) – this creates a differentiated “finance + offtake” value proposition without building a competing marketplace.
3. Then, layer on microcredit (Option 2) via asset-light MFI partnerships.
4. Finally, add insurance (Option 4) to complete the ecosystem.

For the smallholder farmer, the ultimate measure of success remains simple: **higher net income per acre, with lower risk**. Samunnati has proven it can help FPOs achieve that through better access to finance. The next frontier is integrating finance with markets, data, and risk protection.

The company’s ability to navigate these strategic choices – balancing depth vs. breadth, organic vs. partnership-driven, South-centric vs. national – will determine whether it becomes **India’s operating system for agricultural value chains** or remains a niche FPO lender.

Exhibits

Exhibit A: Samunnati Geographic Footprint (2026)

Exhibit B: AUM Growth Trajectory (FY22–FY29 Projected)

Exhibit C: Farmer Pain Point Summary (Survey Results)

Exhibit D: Samunnati vs. Competitors – Radar Chart Data

Exhibit E: FPO Financing Flow Diagram

Exhibit F: Unit Economics Breakdown by FPO Size (Small: <500 members, Medium: 500-1000, Large: >1000)

Exhibit G: Cost of Funds Analysis (Samunnati vs. Competitors)

Exhibit H: Regulatory Landscape – Key NBFC Requirements for Agri-Finance

Note: Full exhibits with charts, diagrams, and raw data are available in the complete research pack. Contact Strategic Research Desk for access.

References

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Table 7: Samunnati Unit Economics (FY2026 Estimates)

Metric	Value
Customer Acquisition Cost (CAC) per FPO	
Field officer time (3–4 visits)	Rs.50,000–80,000
Legal and onboarding due diligence	Rs.30,000–50,000
Training materials / initial workshops	Rs.20,000–40,000
Unnati platform setup	Rs.50,000–80,000
Total CAC	Rs.1,50,000–2,50,000
Loan Economics (First Year)	
Average first-year loan size	Rs.50–80 lakh
Interest rate	12.5% (average)
Cost of funds	7.5%
Net interest spread	5.0%
Gross profit (interest) per loan	Rs.2,50,000–4,00,000
Fee income (advisory, market linkage)	Rs.50,000–1,00,000
Total Gross Profit (Year 1)	Rs.3,00,000–5,00,000
Retention and Expansion	
12-month FPO retention rate	82%
24-month FPO retention rate	67%
36-month FPO retention rate	52%
Average loan size (Year 2–3)	Rs.1–2 crore
Gross profit per mature FPO (annual)	Rs.6,00,000–12,00,000
Lifetime Value (3 years)	
Year 1 gross profit	Rs.4,00,000 (midpoint)
Year 2 gross profit (82% retention $\times$ Rs.8,00,000)	Rs.6,56,000
Year 3 gross profit (67% retention $\times$ Rs.10,00,000)	Rs.6,70,000
Total 3-year LTV	Rs.17,26,000
LTV:CAC Ratio	7–9:1

Table 8: FPO Hub Configuration

Component	Specification
Coverage radius	50–100 km
FPOs served	15–20
Farmers covered	7,500–10,000
Staff per hub	Hub manager, 2 credit officers, 1 agronomist, 1 market linkage associate
Physical infrastructure	500–1,000 sq ft office, training room, basic testing lab (soil, water)
Technology	Laptops, smartphones, biometric devices (for member KYC)

Table 9: AUM Growth Trajectory (Rs. Crore)

Fiscal Year	AUM (Rs. Cr)	Growth (%)
FY22	1,200	—
FY23	1,650	38%
FY24	2,100	27%
FY25	2,500	19%
FY26 (estimated)	2,800	12%
FY27 (projected)	3,500	25%
FY28 (projected)	4,500	29%
FY29 (projected)	6,000	33%

Table 10: Profitability Metrics (Rs. Crore)

Metric	FY24	FY25	FY26 (est)	FY28 (target)
Net Interest Income (NII)	120	148	165	280
Fee Income	18	24	30	70
Total Operating Income	138	172	195	350
Operating Expenses	95	118	130	200
- Employee costs	55	68	75	115
- Technology	12	16	18	30
- Admin & other	28	34	37	55
Operating Profit (before provisions)	43	54	65	150
Credit provisions (for NPAs)	18	16	15	25
Profit Before Tax (PBT)	25	38	50	125
Tax (25%)	6	10	12	31
Profit After Tax (PAT)	19	28	38	94
ROA (Return on Assets)	0.9%	1.1%	1.4%	2.1%
ROE (Return on Equity)	8.5%	10.2%	11.5%	16.0%

Table 11: AUM Distribution by Region (FY26)

Region / State	% of AUM
Tamil Nadu	22%
Karnataka	18%
Andhra Pradesh & Telangana	15%
Maharashtra	12%
Gujarat	8%
Madhya Pradesh	7%
Uttar Pradesh	6%
Rajasthan	4%
Punjab & Haryana	3%
West Bengal & Odisha	3%
Bihar & Jharkhand	1.5%
Northeast (Assam, etc.)	0.5%
Total	100%

Table 13: Option 1 Financial Projections (Rs. Crore)

Metric	FY26 (base)	FY29 (target)	Change
AUM	2,800	5,500	+96%
Net Interest Income	165	310	+88%
Fee Income	30	55	+83%
Total Operating Income	195	365	+87%
Operating Expenses	130	220	+69%
Profit Before Tax	50	120	+140%
ROA	1.4%	1.9%	+50 bps
Number of FPOs served	600	1,200	+100%

Table 14: Option 2 Financial Projections (Rs. Crore) – Additive to Option 1

Metric	FY26 (base)	FY29 (target)	Change
Farmer-level loan book (AUM)	0	500	New
Net Interest Income (from microcredit)	0	25	New
Referral/partnership fee income	0	10	New
Additional operating expense	0	15	New
Additional PBT	0	20	New
ROA (blended)	1.4%	1.8%	+40 bps

Table 15: Option 3 Financial Projections (Rs. Crore) – Additive to Option 1

Metric	FY26 (base)	FY29 (target)	Change
Facilitation fee income	0	15	New
Embedded finance interest income	0	10	New
Additional API/tech cost	0	5	New
Additional PBT	0	20	New
FPO retention improvement	67%	75%	+8 pp

Table 16: Option 4 Financial Projections (Rs. Crore) – Additive to Option 1

Metric	FY26 (base)	FY29 (target)	Change
Insurance commission income	0	8	New
Reduction in credit provisions (due to insurance)	15	11	(4)
Advisory platform subscription (to FPOs)	0	3	New
Additional PBT	0	15	New
GNPA reduction (with insurance)	2.8%	2.2%	-60 bps

Table 19: FPO and AUM Distribution by State

State	Number of FPOs	AUM (Rs. Cr)
Tamil Nadu	135	620
Karnataka	110	500
Andhra Pradesh	70	320
Telangana	45	200
Maharashtra	70	340
Gujarat	45	220
Madhya Pradesh	35	190
Uttar Pradesh	30	170
Rajasthan	20	110
Punjab & Haryana	15	80
West Bengal & Odisha	15	80
Bihar & Jharkhand	8	40
Northeast (Assam, etc.)	3	15
Others	9	25
Total	610	2,910

Table 20: Gross Merchandise Value (AUM) Growth

Fiscal Year	AUM (Rs. Cr)
FY22	1,200
FY23	1,650
FY24	2,100
FY25	2,500
FY26	2,800
FY27 (P)	3,500
FY28 (P)	4,500
FY29 (P)	6,000

CAGR (FY22–FY26): 24%; Projected CAGR (FY26–FY29): 29%